

However, in general, as an asset class, real estate beats inflation by a fair margin. Also, it allows us to use leverage and increase our returns. Let us see how this works. For instance, let us say, we intend to buy an asset worth Rs. 20 lac. We put Rs. 8 lac in equity and borrow the remaining Rs. 12 lac. The price of the property goes up by 20% in the next 2 years i.e. to Rs. 24 lac. With this increase, our equity increased from Rs. 8 lac to Rs. 12 lac. Thus, a 20% increase in prices led to a 50% increase in our equity. This is due to the use of leverage or debt. Using leverage increases our returns manifold. However, debt is a double-edged sword i.e. the opposite is also possible. If the asset price goes down by 20%, our investment amount will reduce by more than 20%. If managed well, real estate portfolios can give excellent returns. However, this requires a lot of time, attention, and skill.

